

Document 27. Comparative Frameworks Sheet

Side-by-side comparison tables for the most-tested cross-topic syntheses.

Section A. Externality vs Merit/Demerit Good

	Externality	Merit / Demerit Good
Source of failure	Spillover effect on third parties	Mis-valuation by the consumer
Curve affected	$MSC \neq MPC$ or $MSB \neq MPB$	$MSB \neq MPB$ only
Welfare loss	DWL triangle between MSC and MSB at private equilibrium	DWL triangle from MSB shift
Correction	Pigouvian tax / subsidy = external value	Subsidy + info campaign + mandate
SG example	Carbon tax for emissions	Subsidised healthcare for under-valued preventive care

Section B. Actual vs Potential Growth

	Actual Growth	Potential Growth
Definition	Year-on-year rise in real GDP	Rise in productive capacity
Curve shift	AD or SRAS rightward	LRAS rightward; PPC outward
Diagram	AD-AS / movement inside PPC to PPC	LRAS shift; PPC shift outward
Time horizon	Short-run	Long-run
Policy	Demand-side (FP, MP)	Supply-side (R&D, skills, capital)

Section C. Demand-Pull vs Cost-Push Inflation

	Demand-Pull	Cost-Push
Cause	AD rises beyond capacity	SRAS shifts left (cost shock)
Diagram	$AD \rightarrow AD_1$ in classical / intermediate	$SRAS \rightarrow SRAS_1$ leftward
Y, P direction	$P \uparrow, Y \uparrow$ (if Keynesian) or only $P \uparrow$	$P \uparrow, Y \downarrow$ (<i>stagflation</i>)
Best-fit policy	Contractionary FP / MP	SRAS support: lower input cost, energy diversification

Section D. Fiscal vs Monetary Policy

	Fiscal	Monetary
Instrument	G, T	Interest rate / exchange rate
Authority	MOF	Central bank (MAS)
Lag	Long (decision + implementation)	Short (decision); long (transmission)
Effect	Direct on G ; indirect on C via T	Indirect via $C, I, (X - M)$
Distributional	Highly targetable	Less targetable
Limitation	Crowding-out; debt; small open-economy k	Zero lower bound; interest insensitivity; impossible trinity

Section E. Floating vs Fixed vs Managed Float

	Floating	Fixed	Managed (BBC)
Volatility	High	None within peg	Moderate
MP autonomy	Yes	No	Limited / hybrid
Reserves	Minimal	Heavy	Moderate
Inflation control	Indirect	Imported	Direct via appreciation
SG fit	No (too volatile)	No (impossible trinity)	Yes (MAS S\$NEER)

Section F. Perfect Competition vs Monopoly

	PC	Monopoly
Firms	Many	One
Product	Homogeneous	Unique
Entry barriers	None	High
P vs MC	$P = MC$	$P > MC$
Allocative	Yes	No
Productive	Yes (LR)	No (typically not at min AC)
Dynamic	Limited (normal profit)	May be high (supernormal profits fund R&D)

Section G. Free Trade vs Protectionism

	Free Trade	Protectionism
Consumer prices	Lower	Higher
Variety / quality	Higher	Lower
Producer surplus	Lower	Higher
(import-competing)		
Government revenue	Zero (no tariff)	Tariff revenue
Welfare	Higher (static + dynamic)	Lower (DWL)
Risk	Structural unemployment in losing sectors	Retaliation; rent-seeking